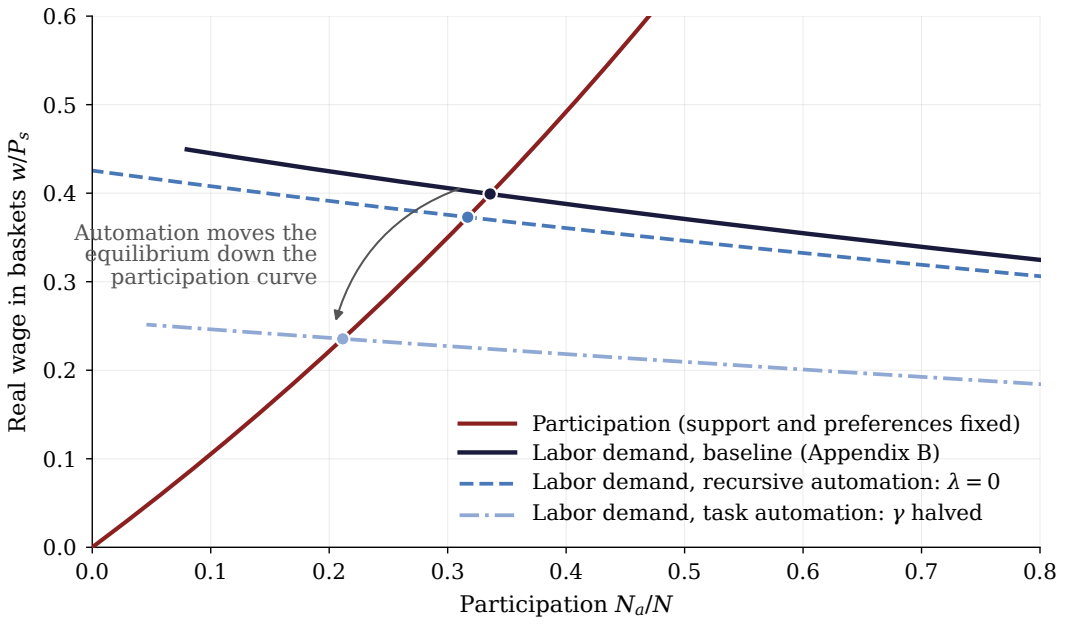
Real wage in baskets w/P_s
Participation N_a/N
0.0
0.1
0.2
0.3
0.4
0.5
0.6
0.7
0.8
Automation moves the equilibrium down the participation curve
Participation (support and preferences fixed)
Labor demand, baseline (Appendix B)
Labor demand, recursive automation: $\lambda = 0$
Labor demand, task automation: γ halved